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Standard Chartered FY'2025 Earnings Note

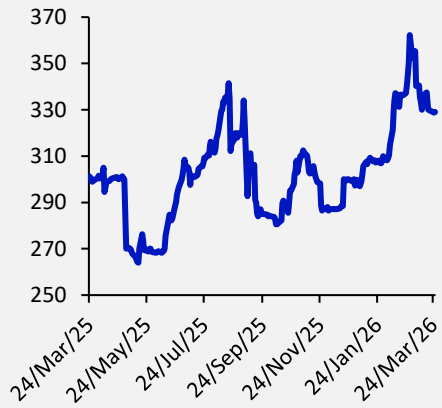


Standard Chartered Kenya FY'25 Earnings

27th March 2026

Ticker Information	
NSE Code:	SCBK
Issued Shares (Bn):	0.38
52-week high:	KES 365
52-week low:	KES 134

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(4.7%)	10.0%	15.4%	9.2%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
HOLD	**KES 328.5**	**KES 318.45**

Summary

- **Standard Chartered Kenya reported a 38.8% decline in Profit After Tax in FY'25, reaching KES 12.44 Bn from KES 20.06 Bn.** The performance was characterized by a 13.1% drop in net interest income and a 23.0% y/y decline in non-funded income. Operating expenses further dragged performance, increasing by 13.3% to KES 25.47 Bn**. The Board of Directors declared a final dividend of KES 23.0 per share (vs our in-house estimate of KES 22.0 per share), taking the total dividend for the year to KES 31.0 per share, a 31.1% decline from KES 45.00 per share issued in FY'2024.**

Key Highlights

- **Earnings Mix:** Net interest income declined 23.0% y/y, chiefly driven by a 25.9% slowdown in interest from loans and advances, despite a 1.8% expansion in the loan book; a low-interest-rate environment compressed revenue. Nevertheless, interest from government securities increased by 14.3%, clocking KES 11.15 Bn. At the same time, interest from placements eased 23.6% y/y to KES 4.76 Bn. On the expense side, interest on customer deposits declined 29.1% y/y to KES 3.93 Bn, driven by the declining benchmark rate through the year. On the non-funded side, revenue declined 23.0% y/y to KES 13.41 Bn. The performance was driven by a 58.6% y/y decline in FX trading income to KES 3.42 Bn from KES 8.27 Bn, largely linked to lower trading volumes and thin margins on the back of a stable Kenyan Shilling. Key to mention, total operating expenses jumped 13.3% y/y to KES 25.47 Bn, as staff costs ballooned by 23.7% y/y to KES 11.20 Bn, largely linked to one-off costs (KES 2.6 Bn) tied to the pensions case.
- **Asset Quality:** Gross non-performing loans declined by 26.5% to KES 8.83 Bn from KES 12.02 Bn. Consequently, provisions eased by 21.2% to KES 4.24 Bn from KES 5.38 Bn, owing to improving asset quality. At the same time, impairment losses on loans reduced by 16.3% to KES 1.99 Bn; the lender cited recovery efforts and robust loan book management. Notably, the NPL ratio improved to 5.6%, below the industry average of 15.5%.

Balance Sheet Dynamics

Total assets declined by 5.5% to KES 363.49 Bn. The loan book expanded moderately by 1.8% to KES 154.31 Bn. The bank noted that growth was driven by Corporate Finance and Wealth Solutions, while there was a slowdown in Transactional Services, Personal Loans, and Mortgages. Government and other securities increased by 9.0% to approximately KES 107.3 Bn. On the funding side, customer deposits decreased by 4.1% y/y to KES 283.45 Bn, with CASA accounting for 97.0% of total customer deposits.

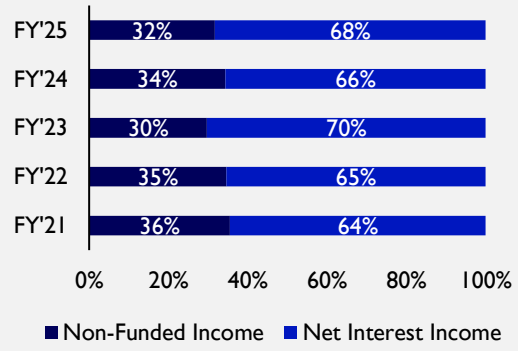
Outlook

Standard Chartered's earnings came in line with our in-house estimates. Revenues were challenged from both the core lending business and the non-funded side. The funded side was weighed down by thin margins as interest rates continued to decline throughout the year, while the non-funded side took a hit from declining FX trading income, as the currency remained stable, limiting margin opportunities. Going forward, an easing monetary policy environment should also boost demand for customer loans. We expect earnings to recover to FY'2024 levels by FY'2027. Additionally, Stanchart will benefit from a resilient wealth management segment; the lender noted sustained demand across various wealth solutions. Assets under management posted 29.0% growth to KES 302.0 Bn, demonstrating resilient performance. The bank is expected to continue leveraging its Corporate and Investment Banking segment, driving the non-funded revenue stream. We note that the bank has been steadfast in managing the loan book, as evidenced by a relatively low NPL ratio compared to peers; we expect the interest rate environment to continue supporting the unwinding of NPL levels. We expect 2026 to be a recovery phase for the bank, supported by improving macroeconomic conditions, which will act as a tailwind to drive business activity and credit demand. On the downside, performance may be weighed down if the conflict in the Middle East persists for a prolonged period.

Recommendation

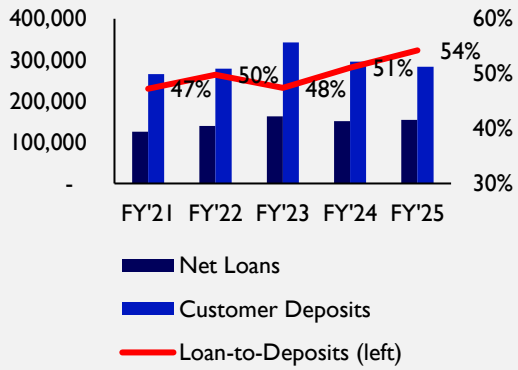
We revise our recommendation for Standard Chartered Kenya to HOLD, supported by a resilient core banking franchise and an attractive dividend proposition. The stock currently presents a downside of 3.1%; however, a dividend yield of 9.4% cushions this downside, bringing the potential total return to 6.3%. At the current market price, the stock is trading at a P/E ratio of 9.96x and a P/B ratio of 1.95x. Our one-year target price for Standard Chartered Bank Kenya stands at KES 318.45, representing an approximate 3.1% downside from current levels.

Chart 2: Earnings Mix



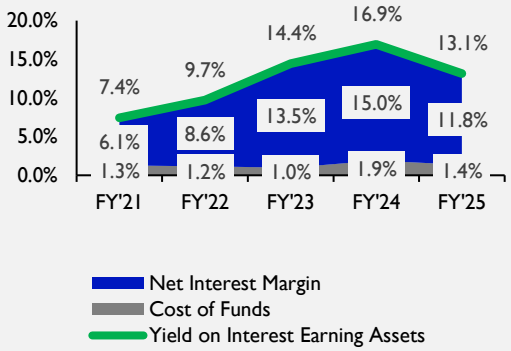
Source: Company filings, AIB-AXYS Research.

Chart 3: Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Margins Trends



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Mn)	FY'21	FY'22	FY'23	FY'24	FY'25	y/y % Change
Net Interest Income	18,809.42	22,223.07	29,325.09	33,265.30	28,891.84	▼ (13.1%)
Net non-Interest Income	10,355.00	11,753.98	12,404.10	17,410.88	13,409.89	▼ (23.0%)
Total Operating income	29,164.42	33,977.05	41,729.19	50,676.19	42,301.74	▼ (16.5%)
Provision for Impairment	(2,081.63)	(1,328.46)	(3,380.00)	(2,380.73)	(1,993.28)	▼ (16.3%)
Total Operating expenses	(16,566.37)	(16,873.85)	(22,060.10)	(22,468.85)	(25,465.04)	▲ 13.3%
Profit before tax	12,598.05	17,103.20	19,669.08	28,207.34	16,836.69	▼ (40.3%)
Profit after tax	9,043.84	12,057.94	13,836.07	20,059.69	12,436.57	▼ (38.0%)
Annualized EPS	23.99	31.99	36.70	53.21	32.99	▼ (38.0%)
DPS	19.00	22.00	29.00	45.00	31.00	▼ (31.1%)

Balance Sheet (KES Mn)	FY'21	FY'22	FY'23	FY'24	FY'25	y/y % Change
Government Securities	95,595.61	105,696.88	69,574.70	98,002.71	96,901.83	▼ (1.1%)
Loans and Advances	125,974.59	139,412.56	163,161.78	151,647.38	154,307.04	▲ 1.8%
Total Assets	**334,871.94**	**381,260.02**	**428,962.18**	**384,574.09**	**363,491.56**	▼ (5.5%)
Customer Deposits	265,469.11	278,879.31	342,853.24	295,690.09	283,451.83	▼ (4.1%)
Total Liabilities	281,657.83	325,123.29	367,429.91	312,797.97	297,171.38	▼ (5.0%)
Shareholder's Funds	**53,214.11**	**56,136.73**	**61,532.27**	**71,776.12**	**66,320.18**	▼ (7.6%)

Ratio Analysis	FY'21	FY'22	FY'23	FY'24	FY'25	y/y change
Spreads Analysis						
Yield on Interest Earning Assets	7.4%	9.7%	14.4%	16.9%	13.1%	▼ (3.8%)
Cost of Funds	1.3%	1.2%	1.0%	1.9%	1.4%	▼ (0.5%)
Net Interest Margin	6.1%	8.6%	13.5%	15.0%	11.8%	▼ (3.2%)
ROaE	17.3%	21.8%	23.5%	30.2%	18.1%	▼ (12.1%)
ROaA	2.7%	3.4%	3.4%	4.9%	3.3%	▼ (1.6%)
Profit Margin	31.0%	35.5%	33.2%	39.6%	29.4%	▼ (10.2%)
Operating Efficiency						
Cost to Income Ratio (Less LLP)	49.7%	45.8%	44.8%	39.6%	55.5%	▲ 15.8%
Cost to Assets (Less LLP)	4.4%	4.3%	4.6%	4.9%	6.3%	▲ 1.3%
Loan to Deposit Ratio	47.5%	50.0%	47.6%	51.3%	54.4%	▲ 3.2%
Asset Quality						
Net NPL Ratio	17.1%	15.1%	10.1%	7.7%	5.6%	▼ (2.1%)
NPL Coverage	84.4%	87.1%	81.6%	81.8%	87.0%	▲ 5.2%
Cost of Risk	1.7%	1.0%	2.1%	1.6%	1.3%	▼ (0.3%)
Capital Adequacy						
Core Capital/TRWA	15.5%	15.4%	17.8%	19.5%	20.4%	▲ 0.9%
Total Capital /TRWA	17.8%	17.7%	17.8%	19.6%	20.4%	▲ 0.9%
Liquidity	70.7%	73.0%	66.3%	67.6%	64.4%	▼ (3.2%)



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